

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**COMPLAINANT SAMSUNG ELECTRONICS AMERICA,
INC.'S OPPOSITION TO SM LINE'S PETITION FOR LEAVE TO DEPOSIT FUNDS**

Complainant Samsung Electronics America, Inc. (“SEA” or “Complainant”) respectfully submits this Opposition to SM Line Corporation’s (“SM Line”) Petition for Leave to Deposit Funds and Stop the Accrual of Interest in Satisfaction of the Federal Maritime Commission’s Order on the Initial Decision and Related Reparations Award filed on August 31, 2026 (“Petition”).

I. INTRODUCTION

Whatever label SM Line chooses to attach to its filing, the Petition it submitted is, in substance, a request for the Commission to revisit an aspect of the Commission’s August 13, 2026 Order on Initial Decision (“August 13 Order”). Although framed as, among other things, a “petition for leave to deposit funds,” SM Line asks the Commission to reconsider a portion of the

August 13 Order and to endorse procedures for payment that find no support in Commission regulations or precedent. Those requested remedies are not supported by FMC authority, they are not necessary for the Commission to entertain, they are impracticable for the Commission to implement, and the Petition raises serious concerns with administrative finality of the August 13 Order prejudicial to SEA. The Petition should be denied.

II. ARGUMENT

A. SM Line's Unprecedented Petition Causes Needless Implications to Administrative Finality Regardless of Its Label

In the meet and confer section of its Petition, SM Line purports to address SEA's concerns as to the impact that the instant Petition would have on the finality of the FMC's August 13 Order. In response to those concerns, SM Line made statements that the Petition "should not be construed as a motion for reconsideration" and that SM Line "neither intends to disturb or otherwise affect the administrative finality of the Commission's Order nor to impair, toll, extend, or otherwise affect opposing counsel's right to appeal the Order, seek reconsideration, or pursue attorney's fees." Petition at 6.

SM Line's characterization of its filing as something other than a petition for reconsideration, however, does not resolve the concerns SEA raised. The United States Court of Appeals for the D.C. Circuit, one of at least three circuits where an appeal could be lodged to the August 13 Order, has jurisdiction over "final orders" of the Federal Maritime Commission. 28 U.S.C. § 2342(3)(B). SM Line has petitioned the Commission to revisit and modify a portion of the relief awarded in the August 13 Order. The Petition necessarily raises questions regarding the finality of the Commission's August 13 Order, regardless of how the Petition is styled. The relevant inquiry is not the title affixed to the Petition, but whether SM Line has returned to the Commission asking that the Commission retain and exercise jurisdiction over matters addressed

in the August 13 Order. Here, there is no dispute that SM Line has filed a Petition in this docket, asking the Commission to revisit and reconsider the manner in which the Commission addressed and/or ordered the payment of reparations and interest in the August 13 Order. As a result, a matter in the August 13 Order now remains pending before the Commission that did not exist prior to SM Line's filing.

SM Line's conclusory representations regarding how its Petition should be interpreted and its alleged lack of effect on appellate rights, are unavailing. Parties cannot create appellate court jurisdiction through characterization or stipulation where jurisdiction is otherwise lacking. *Clifton Power Corp. v. FERC*, 294 F.3d 108, 112 (D.C. Cir. 2002) (dispelling with argument that the finality requirement is a "merely prudential consideration" and instead holding that "jurisdiction cannot be pretermitted").

It was these very concerns over the impact on the finality of the August 13 Order which caused SEA to draw from its undersigned counsel's own experience and cite to *Maier Terminals, LLC v. Federal Maritime Commission* during the meet and confer. As SEA explained, *Maier* involved circumstances in which pursuit of reconsideration before the Commission impeded finality to ability to obtain appellate review. 2013 U.S. App. LEXIS 12462 (D.C. Cir. June 18, 2013). While there may be grounds upon which a court could distinguish *Maier*,¹ there are

¹ The United States Court of Appeals for the D.C. Circuit in *BellSouth Corp. v. FCC* explained finality, at least in certain circumstances, as a party-specific concept: "a party that stays before an agency to seek reconsideration of an order cannot at the same time appear before a court to seek review of that same order, any more than the party could literally be in two places at the same time." 17 F.3d 1487, 1490-91 (D.C. Cir. 1994). The court further held that "once a party petitions the agency for reconsideration of an order or any part thereof, the entire order is rendered nonfinal as to that party." *Id.* But even if that reasoning from one Court of Appeals were applied to the facts here, which SM Line notably did not argue, that would not resolve the prejudice to SEA. SEA would be faced with the risk that SM Line put off administrative finality of the Order for itself, but not for SEA.

presently no assurances regarding the jurisdictional, prejudicial consequences of SM Line's filing here. Rather, *Mahe*r illustrates the broader point that serious questions arise regarding administrative finality and appellate jurisdiction once an otherwise final order is again brought before the agency.

B. SM Line's Request for FRCP 67 is Inappropriate, Impracticable and Unnecessary

SM Line's core request that the Commission apply Rule 67 of the Federal Rules of Civil Procedure ("FRCP") to allow deposit of funds into a Commission trust account has no basis in FMC law or practice. At the meet and confer, SEA asked SM Line to identify authority supporting this request. SM Line cited none. The Petition fares no better: it invokes FRCP Rule 67 without pointing to a single FMC decision that has applied, or even considered, that mechanism in the context of depositing a reparations award or interest. This is because there is no such precedent. There is likewise no mechanism in the FMC's regulations for a respondent to deposit funds with the Commission, making the request not only legally unsupported but impracticable for the Commission to carry out.

SM Line's reliance on 46 C.F.R. § 502.12, which permits use of the Federal Rules where no Commission rule addresses a situation, does not save it. The premise of that provision is a gap in the Commission's rules. There is no gap here. The Commission's regulations address interest on reparations awards directly. Rule 253 of the FMC's Rules and Regulations, and corresponding precedent lays out the procedures for interest calculation. "Normally a complainant suffers discrete financial injury at a certain time and when it obtains an award of reparations to compensate for this lost money, the Commission awards the lost discrete amount plus interest from date of injury up to 15 days after a final Commission decision. See 46 C.F.R. 502.253." *Bernard & Weldcraft v. Supertrans*, Dkt. No. 02-12, 2003 WL 136313, at *11 (ALJ Jan. 3, 2003).

SM Line did not need, and does not now need, Commission guidance to understand its obligations under the applicable regulations, it needed only to read the regulation itself and, to the extent it was unclear, review the years of precedent whereby the Commission has ordered interest payments. SM Line nevertheless argues that its Petition is compelled because “[t]he Commission’s Order imposes an affirmative obligation on SM Line to pay the reparations award, together with accrued interest. The Order, however, does not specify how SM Line should deliver the funds to SEA. SEA, likewise, has not provided instructions regarding its preferred method of payment, and the Commission’s Rules of Practice and Procedure do not provide a specific mechanism for depositing funds into an agency registry.” Petition at 4. That argument shows that SM Line is not asking for guidance, but instead is asking the Commission to revisit what the Commission addressed, and did not address, in the August 13 Order.

The August 13 Order does not impose an affirmative obligation on SM Line to pay reparations or interest *by a date certain*, because the August 13 Order did not state a date for the payment of interest, nor did the Commission calculate such interest, nor require SEA to provide payment instructions, nor provide a mechanism for depositing funds. In short, all matters that SM Line apparently wanted the Commission to address in the August 13 Order, and that SM Line is now petitioning the Commission to reconsider. But that does not make the Petition, or the “guidance” by whatever name, necessary.

Absent a Commission order to the contrary, SM Line was free to deposit funds in a private escrow or counsel’s IOLA account, as it suggested at the meet and confer, it can do so now without petitioning the Commission, which potentially impedes the finality of the August 13 Order. SEA raised this issue in the meet and confer when urging this improvident Petition not be made, but SEA’s concerns were brushed aside. SEA is not required to acquiesce to SM Line’s unilateral

demands for a stipulation, particularly given that applicable precedent provides that interest would be recalculated following any subsequent Commission decision, for example, in the event of a remand from the D.C. Circuit. See *TCW, Inc. v. Evergreen Shipping Agency Corp.*, Dkt. No. 1966(I), 2022 WL 18068977, at *11 (FMC Dec. 19, 2022) (affirming reparations award and calculating interest at \$11.62); *TCW, Inc. v. Evergreen Shipping Agency Corp.*, Dkt. No. 1966(I), 2025 WL 516256, at *11 (FMC Feb. 13, 2025) (on remand from the D.C. Circuit, affirming reparations award and recalculating interest at \$70.03). SM Line conducted no legal analysis of this point and simply dumped its issue on the Commission. This is wrongful.

C. The Precedent Indicates that the Remedy is Issuance of a New Order on Interest Accrual

Having invited the Commission to address this issue, SM Line has necessarily created the possibility that the Commission accept the Petition and/or may elect to take action regarding the payment obligations in the August 13 Order. If the Commission takes further action, *Waterman Steamship Corp. v. General Foundries* is informative. There, after the Commission issued a Final Decision affirming the ALJ's reparations award of \$52,000 but omitting a payment date or an interest calculation. *Waterman Steamship Corp. v. General Foundries*, Dkt. No. 93-15, 1994 WL 279898 (FMC June 13, 1994). The Commission issued a supplementary notice three days later specifying the interest owed and establishing a payment deadline of 15 days from the date of the Commission's decision. *Waterman Steamship Corp. v. General Foundries*, Dkt. No. 93-15, 1994 WL 326068 (FMC June 16, 1994).

Consistent with that approach, if the Commission elects to address the issue raised by SM Line's Petition, it may do so by denying the Petition but issuing a supplemental notice specifying the amount of interest due and any applicable payment deadline, with interest recalculated pursuant to 46 C.F.R. § 502.253 through the date of the Commission's new final decision. While that avenue

could mitigate some of the administrative finality uncertainty if a new final order was issued, it would not eliminate all uncertainty, and even so, only if the Commission did so well before the expiration of the 60-day period running from the date of the Order, which expires on October 12, 2026.

D. SM Line’s Inappropriate Inclusion of Settlement Conversations Should be Admonished

SEA must correct one additional misstep in SM Line’s Petition: SM Line’s Petition improperly disclosed the substance of settlement discussions between the parties. SM Line approached SEA and “offered payment of the full reparation amount with accrued interest” (Petition at 2) and seeking a stipulation that would terminate interest accrual on SM Line’s terms. SEA declined that offer, reserving all appellate rights and making clear that it would consider settlement only in an amount commensurate with the full dispute. It is bizarre that counsel for SM Line would share this communication in its odd email to the Commission seeking informal guidance on August 21, 2026, and do so again in this Petition when it could have simply stated SEA declined SM Line’s unprecedented demand.

For the sake of good order, SEA was and is willing to entertain legitimate settlement discussions with SM Line, as it has done successfully in parallel proceedings with other ocean carriers where reparations proceedings were filed with the Commission. *See, e.g., Samsung Electronics America, Inc. v. Ocean Overseas Container Line Ltd. and OOCL (Europe) Ltd.*, Dkt. No. 24-17 (Dkt. 149) (Sept. 8, 2026) (Order Granting Joint Motion for Approval of Confidential Settlement Agreement and Dismissal of the Amended Complaint With Prejudice); *Samsung Electronics America, Inc. v. Wan Hai Lines, Ltd.*, Dkt. No. 26-06 (Dkt. 16) (Aug. 20, 2026) (Order Granting Joint Motion for Approval of Settlement Agreement); *Samsung Electronics America, Inc. v. Wan Hai Lines, Ltd.*, Dkt. No. 26-06 (Dkt. 17) (Aug. 31, 2026) (Motion to Dismiss with

Prejudice filed following approval of settlement agreement); *Samsung Electronics America, Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-16 (Dkt. 143) (Aug. 20, 2026) (Joint Status Report showing settlement has been reached).

The Presiding Officers in these settled actions note that the confidential settlement agreements are available to the Commission for review. And SEA is very pleased for the Commission to carefully review how the settled ocean carriers, both before and after the August 13 Order, assess the scope of damages resolved juxtaposed with the direct demurrage and detention charges SEA was forced to pay during the pandemic (as alleged in its reparations petition). SM Line is attempting to rush to pay its reparations to SEA, in the hopes SEA will avoid taking any further action, because the remuneration is not nearly commensurate with the wrongful conduct it inflicted on SEA and the industry, as adjudged by the Presiding Officer. SEA is apparently the only company to publicly challenge SM Line's pandemic era violations of the Shipping Act before the FMC, but it is highly unlikely to have been the only party to suffer. SM Line's attempt to interfere with SEA's ability to seek relief at the proper time, and to reveal legitimate settlement communications in the process, is inappropriate.

III. CONCLUSION

For the foregoing reasons, SEA respectfully requests that the Commission deny the Petition.

Dated: September 8, 2026

Respectfully submitted,

HOLLAND & KNIGHT LLP

/s/ Chris Nolan

Christopher R. Nolan
Allison N. Skopec
Chiara Kalogjera-Sackellares
787 Seventh Ave., 31st Floor
New York, NY 10019
Telephone: (212) 513-3200
chris.nolan@hklaw.com
allison.skopec@hklaw.com
chiara.sackellares@hklaw.com

Gerald A. Morrissey III
Kristine O. Little
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
Telephone: (202) 469-5497
gerald.morrissey@hklaw.com
kristine.little@hklaw.com

Counsel for Samsung Electronics America, Inc.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 8th day of September 2026, the foregoing document was served via electronic mail on:

Montgomery McCracken Walker & Rhoads LLP

Wook Chung
Vincent M. DeOrchis
Kaspar Kielland
Matteo Bonuzzi
Layal Ramirez
427 Madison Avenue, 24th Floor
New York, New York 10022
wchung@mmwr.com
vdeorchis@mmwr.com
kkielland@mmwr.com
mbonuzzi@mmwr.com
lramirez@mmwr.com

Counsel to SM Line Corporation

/s/ Ashleigh T. Higgs
Ashleigh T. Higgs